Rijeka Methodology

Curve construction, pricing, risk, XVA, digital-asset derivatives and on-chain confirmation

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How to read this document. Every formula below is the one implemented in the open-source code, with the module named in the margin of each section. Where the code departs from textbook practice, or where a simplification is in force, it is stated as a *known limitation* rather than hidden. The Methodology tab of the application exports, for each product, an Excel workbook that rebuilds the default trade with live formulas from the user's own market data next to the engine's value; those workbooks are the executable companion to this text.

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1 Scope and principles

Rijeka is a front-to-back desk for over-the-counter derivatives: booking, pricing, cashflows, risk, XVA under a credit support annex, ISDA SIMM initial margin, and bilateral confirmation anchored to Ethereum. Phase 1 covers interest-rate products on overnight-index curves (USD SOFR, EUR €STR, GBP SONIA and others) and non-deliverable digital-asset forwards and options.

Three principles govern the implementation.

1. **No black boxes.** Each number is traceable to a formula in this document and a function in the repository; the Excel replications reproduce it outside the system.
2. **Risk taxonomy follows ISDA SIMM.** Sensitivities are `IR01` (all curves bumped), `IR01_DISC` (discount curves only), `THETA`, `GAMMA`, `VEGA`; the terms PV01 and DV01 are not used.
3. **Market data is dated and sourced.** Every snapshot carries a valuation date and a source. Pricing off a stale snapshot is permitted but is always flagged with the snapshot date; it is never silent.

1.1 Notation and conventions

t_0	valuation date
$P(t,T)$	discount factor from T to t on the OIS curve; $P(t_0,T)$ written $P(T)$
$\tau(d_1,d_2)$	year fraction under a day-count convention: ACT/360, ACT/365F, 30/360 bond basis (ISDA 2006 §4.16(f)), ACT/ACT ISDA
N, K, F	notional, strike, forward
σ_N	normal (Bachelier) volatility, quoted in basis points per annum
Φ, φ	standard normal distribution and density

Business-day adjustment is Modified Following on the currency's calendar unless the trade says otherwise. Spot lag is two business days for USD, EUR, JPY and CHF, one for CAD, zero for GBP, AUD and NZD (`pricing/bootstrap.py`, `CCY_SPOT_LAG`).

2 Discount curve construction

Module: `pricing/bootstrap.py`, `pricing/curve.py`.

2.1 Instruments

A curve is built from an overnight deposit and a strip of OIS par swap rates (tenors in weeks, months and years). Futures, FRAs and IRS quote types are accepted by the engine but Phase 1 curves use deposit and OIS swaps only.

2.2 Algorithm

1. The overnight deposit gives $P(t_0 + 1\text{d}) = 1/(1 + r_{ON}\,\tau_{ACT/360})$.
2. The spot discount factor $P(t_s)$ is obtained by extrapolating the overnight zero rate to the spot date and is *frozen* as an explicit pillar. This is the step that makes the bootstrap and the pricer agree to the last cent: both read the same $P(t_s)$.
3. Annual OIS swaps are bootstrapped on a dense integer-year grid (1Y to the longest quote, each year counted from the spot date, so a 29 February spot rolls to 28 February), with missing years filled by linear interpolation of par rates, so that every annual period end is a pillar. This gap fill is a convention: QuantLib's bootstrap of the same quotes interpolates log-linearly in discount factors between quoted maturities, and the two curves agree at the quotes but part by up to 1.3bp in zero rate (and 4bp in a single three-month forward) between them (§15).
4. Week- and month-tenor swaps are then bootstrapped in maturity order against the pillars already present.

For an OIS swap of par rate R with annual periods $(T_{i-1}, T_i]$, $i = 1 \dots n$, accrual factors τ_i (ACT/360 for USD), the terminal discount factor solves the par condition with the floating leg replaced by its telescoping value $P(t_s) - P(T_n)$:

$$P(T_n) \;=\; \frac{P(t_s) - R\sum_{i=1}^{n-1} \tau_i\, P(T_i)}{1 + R\,\tau_n}. \tag{1}$$

Because every period end is a pillar, a swap struck at its own par rate reprices to exactly zero.

2.3 Interpolation and extrapolation

Between pillar dates $d_0 < d < d_1$ the discount factor is log-linear in the calendar-day fraction $w = (d - d_0)/(d_1 - d_0)$:

$$P(d) = \exp\big[(1 - w)\ln P(d_0) + w \ln P(d_1)\big], \tag{2}$$

equivalent to a piecewise-constant forward rate. Beyond the last pillar the continuously-compounded zero rate is held flat. Before the first pillar $P = 1$. The Excel replications implement exactly this rule with `MATCH/INDEX`, so a reader can check any discount factor the engine produces.

2.4 Risk bumps

A parallel shift of b basis points is applied to zero rates: $P_b(T) = P(T)\, e^{-b\cdot 10^{-4}\,T}$ with T in ACT/365F years (`Curve.shifted`).

3 Schedules and cashflows

Module: `pricing/schedule.py`, `pricing/day_count.py`, `pricing/ir_swap.py`.

Coupon periods are rolled from an anchor at the payment frequency (monthly, quarterly, semi-annual, annual, or zero-coupon), every date counted from the anchor (anchor $\pm\, k$ periods) so that a month-end does not drift: rolled back quarterly from 31 August the dates are 31 May, 28 February, 30 November, 31 August. No end-of-month rule is applied. The stub type chooses the anchor: `SHORT_FRONT` (the default) and `LONG_FRONT` roll backward from maturity, `SHORT_BACK` and `LONG_BACK` forward from the effective date, the long variants merging the odd period into its neighbour; explicit first-period-start and last-period-end dates override this. Period end dates are unadjusted; payment dates apply the business-day convention and the payment lag in business days of the leg's calendar (its `payment_calendar`, else its currency's: New York,

TARGET, London, Tokyo, Zurich, Sydney, Toronto, or a join of them). Floating fixings are two business days before the period start on the same calendar. A period whose accrual ends on a weekend at month-end is therefore paid on the preceding business day, before its accrual ends; QuantLib, which adjusts accrual dates as ISDA does, would not build such a coupon, and the reference checks reproduce it coupon by coupon. (Before November 2026 the dates drifted after a short month, the stub type was ignored, and the lag and fixing dates counted weekdays only; NPV moved by less than 0.02bp of notional, individual coupon dates by up to three days.)

A fixed coupon over $(d_s, d_e]$ is $N\, r\, \tau(d_s, d_e)$. A floating coupon on a compounded overnight index is projected from the forecast curve as

$$r_{float} = \frac{1}{\tau(d_s, d_e)} \left(\frac{P_f(d_s)}{P_f(d_e)} - 1 \right) + s, \tag{3}$$

which equals the daily-compounded in-arrears rate implied by the curve; s is the spread. For a period already in progress, a realised fixing R (when supplied) covers the elapsed part τ_e and the curve's forward F the remainder τ_r, compounded: $r = \big[(1 + R\tau_e)(1 + F\tau_r) - 1\big]/\tau$. The realised part is rebuilt from the desk's own market data (`pricing/fixings.py`): the overnight rate is the ON quote of every daily snapshot of the leg's curve, carried over days without a snapshot and compounded on the index's basis (ACT/360 for SOFR, €STR and SARON, ACT/365F for SONIA and TONA); the price response names the snapshots it used. Without a snapshot on or before the period start the elapsed days are assumed to have accrued at the remaining stub's forward, and the response says so (the error is the realised-minus-forward gap times the elapsed fraction: 11bp of notional in the reference test, where they differ by 40bp). Notional, fixed-rate and spread schedules (step-ups, amortisation) are resolved per period from their effective dates.

Each coupon is discounted at its business-day-adjusted payment date, the date the cash moves. (Engine versions before October 2026 discounted at the unadjusted period end; where a date rolled over a weekend the two differ by a day or two of discounting. Corrected in v0.5, with the Excel replications as the independent check.)

4 Linear interest-rate products

Module: `pricing/ir_swap.py`, `pricing/greeks.py`.

The value of a leg is the signed sum of discounted coupons, $PV = \pm \sum_k C_k\, P(T_k)$, with pay legs negative. A swap's NPV is the sum of its legs; a basis swap is two floating legs on different forecast curves; an OIS swap is the single-curve case where forecast and discount curves coincide. The par rate is $R^* = PV_{float} \,/\, (N \sum_i \tau_i P(T_i))$.

Sensitivities are computed by bump-and-reprice:

- `IR01`: all curves shifted +1bp;
- `IR01_DISC`: discount curves shifted +1bp with forecasting held fixed (in single-curve mode this requires a separate bumped copy for discounting, so that `IR01_DISC` < `IR01`; the difference is the forecasting sensitivity);
- `THETA`: $NPV(t_0 + 1\text{d}) - NPV(t_0)$ with curves held;
- `GAMMA`: second difference of ±1bp shifts.

5 European swaptions and the volatility surface

Module: `pricing/swaption.py`, `pricing/sabr.py`.

5.1 Annuity, forward and the Bachelier price

For an option expiring at T_e into a swap paying annually at $T_1 < \cdots < T_n$ (dates rolled backward from the swap's maturity, with the trade's spot lag and business-day adjustment when the trade dates are supplied),

$$A = \sum_{i=1}^{n} \tau_i \, P(T_i), \qquad F = \frac{P(T_0) - P(T_n)}{A}. \tag{4}$$

Rates on overnight curves can be negative and are quoted in normal volatility, so the option is priced in the Bachelier model. With $v = \sigma_N \sqrt{T_e}$ and $d = (F - K)/v$,

$$V_{payer} = N \, A \, v \, \big[d \, \Phi(d) + \varphi(d) \big], \qquad V_{receiver} = N \, A \, v \, \big[- d \, \Phi(-d) + \varphi(d) \big]. \tag{5}$$

Greeks are produced by bump-and-reprice: vega per 1bp of σ_N, `IR01`, theta per calendar day, volga, vanna, dollar gamma, and a delta-hedge notional. A Hull–White cross-check price is reported alongside when the model is calibrated (§7).

5.2 Volatility tiers

The volatility used is tagged `QUOTED` (an at-the-money surface point at the trade's expiry and tenor), `SABR` (an off-the-money strike read from the calibrated smile), `INTERPOLATED` (between grid points), or `MANUAL` (user supplied). The tier travels with the price so that a valuation can be challenged.

5.3 $\beta = 0$ normal SABR

The smile at each expiry–tenor point is the normal SABR of Hagan et al. (2002) with backbone $\beta = 0$:

$$\begin{aligned} \sigma_N(K) &= \alpha \, C(F,K) \left\{ 1 + \left[\frac{2 - 3\rho^2}{24} \nu^2 + \frac{\rho \, \nu \, \alpha}{4} \right] T \right\}, \\ C &= \frac{z}{\chi(z)}, \qquad z = \frac{\nu}{\alpha}(F - K), \qquad \chi(z) = \ln \frac{\sqrt{1 - 2\rho z + z^2} + z - \rho}{1 - \rho}, \end{aligned} \tag{6}$$

with $C = 1$ at the money. Parameters (α, ρ, ν) are fitted to quoted volatilities at strike offsets $\{-200, -100, -50, -25, 0, +25, +50, +100, +200\}$bp by weighted least squares, with α constrained so the at-the-money volatility is matched exactly. The fit RMSE is stored with the parameters.

6 Caps, floors and collars

Module: ***pricing/cap_floor.py, pricing/cap_vol_strip.py, pricing/cap_sabr.py.***

A cap on a compounded overnight index is a strip of quarterly caplets, ACT/360 accrual, from two calendar days after the valuation date, weekend dates moved to the following Monday. The rate fixes in arrears over the whole period; the caplet is valued with option time to the *middle* of its accrual period, $T = \big[(d_s - t_0) + \frac{1}{2}(d_e - d_s)\big]/365$ (`option_time`; documented as Bloomberg's convention). Time is on ACT/365F because normal vols are quoted per 365-day year; before November 2026 it was measured on ACT/360, which overstated the variance by 365/360. For caplet $(d_s, d_e]$ with forward F from (3) and normal volatility σ_N,

$$\text{caplet} = N \, \tau \, P(d_e) \Big[(F - K) \, \Phi(d) + \sigma_N \sqrt{T} \, \varphi(d) \Big], \qquad d = \frac{F - K}{\sigma_N \sqrt{T}}, \tag{7}$$

and a floorlet is the corresponding put. The at-the-money strike of a cap is the annuity-weighted average of its caplet forwards. A collar is a long cap and a short floor. QuantLib's compounded-overnight caplet pricer, which models the backward-looking accrual itself, values the reference caps 0.6–2.0% of premium lower and the reference floor 2.5% higher (§15); that is the size of the mid-period convention.

Booking. A cap, floor or collar is booked as one floating leg with zero participation in the rate (`leverage` 0) and the strikes on its `embedded_options` (a collar: a bought cap and a sold floor, or the reverse), so the swap pricer, the exposure engine and the P&L value exactly the caplet strip; the side, strikes, vol and premium are also in the trade's terms. A floating leg's leverage multiplies its projected rate everywhere (booked and ignored before November 2026). Until then these products were booked as a generic two-leg swap with no strike stored.

Caplet volatilities are stripped from flat cap volatilities one strike column at a time: the 1Y bucket is solved so that four Bachelier caplets reproduce the 1Y cap price; each later bucket (2Y, 3Y, 3–5Y, 5–7Y, 7–10Y) is solved after subtracting the value of the buckets already priced, piecewise flat within a bucket. A $\beta = 0$ SABR smile is then fitted per expiry bucket across strikes.

7 Bermudan swaptions: Hull–White trinomial tree

Module: `pricing/bermudan_swaption.py`.

The short rate follows $\mathrm{d}r_t = [\theta(t) - a\, r_t]\,\mathrm{d}t + \sigma\,\mathrm{d}W_t$. Zero-coupon bonds are affine, $P(t,T) = A(t,T)e^{-B(t,T)r_t}$ with $B(t,T) = (1 - e^{-a(T-t)})/a$ (Brigo–Mercurio 2006, eq. 3.39). The tree is the Hull–White (1994) trinomial tree: a symmetric tree in $x_t = r_t - \alpha(t)$ with the standard branching rules, and a deterministic shift $\alpha(t)$ fitted at every grid time by Arrow–Debreu forward induction so that the tree reprices the market discount curve exactly. Backward induction values the underlying swap at each node by the single-curve telescoping identity $PV_{float}(t) = \sum_k N_k[P(t,T_{k-1}) - P(t,T_k)]$, and applies the early-exercise test at each exercise date.

Validation gate. Before any Bermudan value is trusted, the same tree must price European swaptions within 0.5% (at the money) and 1% (±100bp) of the closed-form Bachelier price on a grid of expiries and tenors. **Scope.** The model is single-curve and single-tenor: multi-curve underlyings, capped or floored underlyings and basis underlyings are refused rather than approximated, and a Bermudan whose underlying tenor is far from the 5Y calibration column carries a warning.

8 Hull–White calibration for exposure simulation

Module: `pricing/calibration.py`.

With constant (a, σ), the model's at-the-money normal volatility for a swaption with expiry T_e on a swap with payment dates T_i, accruals α_i and annuity $A(0) = \sum_i \alpha_i P(0,T_i)$ is (Andersen–Piterbarg 2010, vol. 1 §4.4)

$$\sigma_N(T_e) = \sigma\,\frac{|w|\sqrt{V(T_e)}}{\sqrt{T_e}}, \qquad w = \sum_i \frac{\alpha_i P(0,T_i)}{A(0)}\,B(T_e,T_i), \qquad V(T_e) = \frac{1 - e^{-2aT_e}}{2a}, \quad (8)$$

where $P(0,T)$ is the *market* discount factor from the bootstrapped curve (a flat-rate approximation is the fallback only when no curve is supplied). A constant-parameter model cannot fit a whole surface; following standard XVA practice it is calibrated to the 5Y-tenor column (1Y×5Y, 2Y×5Y, 3Y×5Y, 5Y×5Y) by least squares, and the fit diagnostics are stored with the parameters. The calibration was verified against Jamshidian's decomposition to within 0.01%.

9 Exposure, collateral and the credit support annex

Module: `pricing/csa.py`, `pricing/xva_engine.py`, `api/routes/xva.py`.

9.1 Simulation

Short-rate paths are simulated under the calibrated Hull–White model on a monthly grid with the exact fit to the initial curve, and the trade is revalued on every path and date, giving mark-to-market paths $V(t)$ from our side. With $r(t) = f(0,t) + \phi(t) + x(t)$, x the driftless Ornstein–Uhlenbeck deviation and $\phi(t) = \frac{\sigma^2}{2a^2}(1 - e^{-at})^2$, a bond on a path is

$$P(t,T) = \frac{P(0,T)}{P(0,t)} \exp\Big[- B(t,T)\big(x(t) + \phi(t)\big) - \tfrac{\sigma^2}{4a} B(t,T)^2 \big(1 - e^{-2at}\big)\Big], \qquad B = \frac{1 - e^{-a(T-t)}}{a}. \tag{9}$$

The counterparty engine (`ccr/simulate.py`) omitted $\phi(t)$ until November 2026, which priced bonds high and put path forwards $\phi(t)$ below the curve (8bp at five years, 27bp at ten, for $a = 3\%$, $\sigma = 85$bp); the risk-neutral martingale check in the reference suite now pins it. Grid times are the grid dates' distance in 365.25-day years, the clock every trade date uses, so a fixing or expiry on a grid date sits on that grid point. A European swaption on the paths is valued before expiry with Bachelier on each path's forward swap rate at the normal vol the paths' own Hull–White model implies for it (the Jamshidian price at t_0 inverted through Bachelier, `ccr/options.hw_implied_vol`) and exercised at expiry on the same paths, so the value before expiry and the exercise are one model and expected exposure does not step at expiry (with today's market vol instead it stepped by the ratio of the two vols, 13–25% in the reference test, until November 2026); the market quote is reported beside the vol used. A sold option enters with the opposite sign (the terms' side). Embedded caplets fix on the path at their fixing date.

9.2 Variation margin and the margin period of risk

Variation margin held at t was called against the exposure one margin period of risk δ earlier:

$$C(t) = \max\big(V(t-\delta) - TH_{cp}, 0\big) - \max\big(- V(t-\delta) - TH_{own}, 0\big), \tag{10}$$

zeroed when $|C|$ is below the minimum transfer amount. The margin period δ is shorter than a grid step, so $V(t-\delta)$ is sampled from the Brownian bridge between grid points,

$$V(t-\delta) \,\big|\, V(t-\Delta t), V(t) \;\sim\; \mathcal{N}\big(V(t-\Delta t) + w\,\Delta V,\; w(1-w)\,s^2\big), \qquad w = \frac{\Delta t - \delta}{\Delta t}, \tag{11}$$

with s^2 the cross-path variance of ΔV. This preserves the variance of the move over the margin period; linear interpolation would understate it by a factor $\delta/\Delta t$.

9.3 Initial margin

Initial margin follows ISDA SIMM interest-rate delta: $IM = RW(\text{tenor}) \times |\texttt{IR01}|$ with the published risk weights for regular-volatility currencies (109bp at two weeks falling to 61bp at 5–20 years and 64bp at 30 years). The weights are calibrated to a 10-business-day margin period; for another period they scale by $\sqrt{\delta/10\text{bd}}$. Margin is assumed exchanged symmetrically and amortises with residual maturity. Received IM reduces exposure; posted IM is funded and drives MVA.

9.4 Residual exposure

$$E^+(t) = \max\big(V(t) - C(t) - IM_{recv}(t),\, 0\big), \qquad E^-(t) = \min\big(V(t) - C(t) + IM_{post}(t),\, 0\big). \tag{12}$$

Expected exposure $EE(t) = \mathbb{E}[E^+(t)]$, expected negative exposure $ENE(t) = \mathbb{E}[E^-(t)]$ and the 97.5% potential future exposure are reported per date.

9.5 Presets

Uncollateralised	no variation or initial margin.
Bilateral	daily VM, 10-business-day margin period (the BCBS–IOSCO floor for non-cleared trades), SIMM IM, thresholds and MTA from the CSA.
On-chain	atomic settlement: continuous VM, zero threshold and MTA, 5-business-day margin period (the cleared floor), SIMM IM scaled by $\sqrt{5/10}$.

The on-chain preset is the quantitative claim behind the confirmation layer: with continuous settlement the margin period halves, SIMM initial margin falls by $1 - \sqrt{1/2} \approx 29\%$, and the SA-CCR maturity factor falls in the same proportion.

9.6 SA-CCR

For margined netting sets the maturity factor is $MF = 1.5\sqrt{\max(\delta, \text{floor})/250}$ and replacement cost $RC = \max(V - C,\ TH + MTA - NICA,\ 0)$ with $NICA$ the IM received; unmargined sets use $MF = \sqrt{\min(M, 1)}$ and $RC = \max(V, 0)$. The interest-rate supervisory factor is 0.5% and $\alpha = 1.4$. Capital is 8% of risk-weighted exposure and feeds KVA.

10 The XVA waterfall

Module: `pricing/xva_engine.py`*, function* `run_waterfall`*.*

Default probabilities come from the credit triangle: hazard rate $h = s/LGD$ for a flat or term-structured spread s, survival $Q(t) = e^{-ht}$. With $D_i = P(t_i)$, Δt the grid step and $\Delta Q_i = Q(t_{i-1}) - Q(t_i)$,

$$CVA = LGD_{cp} \sum_i EE_i \, \Delta Q_i^{cp} \, D_i \, \omega_i, \qquad DVA = -LGD_{own} \sum_i |ENE_i| \, \Delta Q_i^{own} \, D_i, \tag{13}$$

$$FVA = \sum_i s_i^{ftp} \, EE_i \, \Delta t \, D_i, \qquad FBA = -\sum_i s^{fba} \, |ENE_i| \, \Delta t \, D_i, \tag{14}$$

$$KVA = \sum_i \kappa \, K_i \, \Delta t \, D_i, \qquad MVA = -\sum_i IM_i \, \max(s_i^{ftp} - \pi, 0) \, \Delta t \, D_i, \tag{15}$$

where ω_i is an optional wrong-way-risk multiplier, κ the capital hurdle rate, K_i the SA-CCR capital on the exposure path, and π a yield pick-up on posted collateral (tokenised collateral that earns a return reduces MVA). Signs follow the convention that costs are positive. The waterfall is reported gross and under the CSA, so the benefit of collateral is visible term by term.

11 P&L attribution

Module: `pnl/explain.py`*,* `pnl/valuation.py`*; full description in* `docs/pnl_attribution.md`*.*

Daily P&L is attributed by sequential full revaluation: from yesterday's mark on yesterday's market the valuation is moved one thing at a time, in a fixed order (carry, cash, each curve tenor bucket by bucket, FX spot and points), each step's change a row, and what is left between the last step and today's mark on today's market is a *residual* row, shown and never spread. An amendment in the window is one step, $NPV(\text{new terms}, m_1) - NPV(\text{old terms}, m_1)$, after the market steps run on the old terms. The rows sum to the change in mark plus cash by construction. Cash counts the flows that left the mark, those paid in $[d_0, d_1)$: the pricer keeps a flow in the value on its payment date, so a coupon paying today is cash tomorrow (before November 2026 the window was $(d_0, d_1]$ and a payment date's P&L counted the coupon twice, reversed the next day). A volatility surface the trade is valued on (an FX option's) is moved

after spot and points, bucket by bucket, as a VOL step; swaption and cap vols have no step yet and land in the residual. Booked European swaptions are valued as options in P&L, VaR, stress and the ladder (Bachelier at the day's nearest ATM grid vol; expiry, strike, payer or receiver and bought or sold from the booked terms, the fixed leg's forward start and rate when the terms are older); until November 2026 they were valued as their underlying swap.

12 Currency and digital-asset forwards

Module: `pricing/currency_forward.py`, `pricing/crypto_forward.py`, `chain/canonical.py` (`CRYPTO_FORWARD`, `CRYPTO_OPTION`).

FX spot, forwards and non-deliverable forwards on a currency pair, and forwards on BTC, ETH or SOL against USD, are one product priced by covered interest parity (cash-and-carry): borrow the quote currency, buy the base today and lend it, so the forward must repay the quote-currency interest. Each currency discounts off its own overnight-index curve (USD SOFR, EUR €STR, GBP SONIA, JPY TONAR, CHF SARON, AUD AONIA, CAD CORRA); a digital asset discounts at its funding rate r_c (lending or staking yield, continuously compounded). With spot S in quote per base, $P_q(T)$ the quote-currency discount factor and $P_b(T)$ the base-currency one, and t_s the spot date (two business days of both currencies for a pair; the valuation date for a digital asset, whose quoted spot settles at once), $F = S\,\frac{P_b(T)/P_b(t_s)}{P_q(T)/P_q(t_s)}$ and $NPV_q = \pm N_b\,(F-K)\,P_q(T)$; quoted forward points are measured from the spot date. (Before November 2026 the spot was applied from the valuation date, dropping the carry over the spot lag: 5.6 pips on a six-month USDJPY from a Friday.) deliverable or non-deliverable changes the settlement mechanics, not the value. When a pair carries a quoted forward curve (forward points by tenor, saved like any other snapshot: Bloomberg, manual or import), the outright at a date is spot plus the points interpolated linearly in time, and the difference to the parity forward is reported as the cross-currency basis; the account chooses, in configuration, whether forwards are priced off quoted points or implied from the two curves, and every quote states which it used. For a digital asset against USD this reads

$$F = S\,\frac{e^{-r_c T}}{P_{USD}(T)} = S\,e^{(r_{USD}-r_c)T}, \qquad NPV = (F-K)\,N\,P_{USD}(T). \tag{16}$$

A non-deliverable European option is priced with Black-76 on that forward with lognormal volatility σ:

$$C = P_{USD}(T)\big[F\Phi(d_1) - K\Phi(d_2)\big], \qquad d_{1,2} = \frac{\ln(F/K) \pm \frac{1}{2}\sigma^2 T}{\sigma\sqrt{T}}, \tag{17}$$

with the put from parity. Settlement is in cash against a named settlement price source on a valuation date and time, and the canonical record carries exactly the fields the ISDA Digital Asset Derivatives Definitions name: digital asset, notional amount, strike or forward price and its currency, option type and exercise style, valuation and settlement dates, settlement currency and price source, premium amount, currency and payment date. **Status.** Implemented in the engine (`pricing/currency_forward.py`, with `pricing/crypto_forward.py` as the digital-asset case), priced from parameters and from booked trades on G10 pairs and BTC, ETH, SOL; spot from public reference rates (ECB) and a public exchange feed, the funding rate a desk input; the Excel replication rebuilds the digital-asset case cell by cell. The canonical on-chain record carries an FX product (pair, both notionals, rate, value date, settlement type, NDF fixing fields) beside the digital-asset one. Option pricing in the trade window is on the roadmap. A validation note: the first workbook had the discount-factor ratio inverted (forward below spot at positive USD rates); the engine's parity test caught it and both were corrected on 28 October 2026.

13 FX options

Module: `pricing/fx_option.py`, `pricing/fx_vol.py`; *route* `POST/api/currency/option/price`; *booked valuation in* `pnl/valuation.py`, *exposure in* `ccr/options.py`, *record in* `chain/canonical.py`.

A European option on a currency pair BASE/QUOTE is the right to buy (call) or sell (put) the base currency against the quote currency at the strike K, exercised at the expiry time on the expiry date and settled on the settlement date, two business days later in both currencies' calendars, by delivery of both currencies or, for a non-deliverable option, in the quote currency against a fixing. It is valued with Garman and Kohlhagen (1983), which is Black–Scholes with the base currency as the dividend-paying asset, on the same forward the currency forward uses (§12: covered interest parity from the spot date, or the account's quoted points), discounted in the quote currency to the settlement date:

$$C = N_b\,P_q(T_s)\big[F\,\Phi(d_1) - K\,\Phi(d_2)\big], \qquad P = N_b\,P_q(T_s)\big[K\,\Phi(-d_2) - F\,\Phi(-d_1)\big], \qquad d_{1,2} = \frac{\ln(F/K) \pm \tfrac{1}{2}\sigma^2 T_e}{\sigma\sqrt{T_e}}, \tag{18}$$

with T_e the ACT/365 time to expiry and T_s to settlement, F the forward to settlement and N_b the base notional. A sold option carries the opposite sign. The premium is a cash flow on its payment date, not part of the value once paid; a non-deliverable option has the same value as a deliverable one.

Volatility. A pair's surface is saved as the market quotes it, per tenor: the at-the-money vol, the 25-delta risk reversal $RR = \sigma_{25\Delta c} - \sigma_{25\Delta p}$ and the 25-delta butterfly $BF = \tfrac{1}{2}(\sigma_{25\Delta c} + \sigma_{25\Delta p}) - \sigma_{ATM}$. Across strikes the smile is Malz's quadratic in the call's forward delta,

$$\sigma(\Delta) = \sigma_{ATM} - 2\,RR\,(\Delta - \tfrac{1}{2}) + 16\,BF\,(\Delta - \tfrac{1}{2})^2, \tag{19}$$

which reproduces the three quotes exactly and is solved as a fixed point with $\Delta = \Phi(d_1)$ (the premium-excluded forward delta). ATM, RR and BF are interpolated linearly in time between quoted tenors and held flat beyond them; a tenor quoted ATM-only contributes to the level and not to the skew. Conventions stated as limitations: the ATM quote is applied at $\Delta = \frac{1}{2}$, so the vol read at $K = F$ sits a hundredth of a point off it; the wings beyond 10-delta are the quadratic extrapolated; premium-included deltas (the standard for USD-base pairs) are not used. Without a saved surface the pair prices at a flat desk default and the response says so; the daily demo build writes a synthetic surface for the G10 pairs, labelled as such, since no public source quotes FX vols.

Risk. In the desk's taxonomy: `spot01` (+1% spot, repriced; the forward moves with spot, the discounting does not), the equivalent spot position in base units, gamma over a further 1%, vega per volatility point (repriced), `IR01` on each curve (+1bp, repriced: the quote curve raises the forward and lowers the discount factor, the base curve lowers the forward), theta one calendar day later. The ticket shows the forward delta beside them.

In the frameworks. The P&L explain gains a VOL step after spot and points: the pair's surface is moved tenor bucket by tenor bucket, so a day's vega P&L is a row of its own and only cross terms reach the residual (§11). The risk ladder bumps each surface bucket by one volatility point and reports vega by (surface, bucket), kept apart from the rate ladder (`docs/market_risk.md`); volatility is not a VaR factor yet (its history is days old and the per-tenor shift does not describe three quotes per tenor), which is stated on the page. On the exposure paths the option is valued before expiry with Garman–Kohlhagen on the path's forward (the path's spot and bonds) at the vol it was valued with today, held flat, and after expiry as the payoff fixed on the spot at the expiry grid point and discounted until settlement (§9). The canonical record (§14) carries the fields of the ISDA FX and Currency Option Definitions: pair, option

type, exercise style, both notionals, strike, expiry date and time, settlement date and type, settlement currency and fixing source for a non-deliverable option, premium amount, currency and payment date, automatic exercise; buyer and seller are named by LEI so both bookings hash identically.

Reference. Against QuantLib's `GarmanKohlagenProcess` with `AnalyticEuropeanEngine` on the same spot, rates and vol: value to rounding for calls and puts, bought and sold, in and out of the money, to two years; delta in base units to rounding; the repriced spot01, vega and rate sensitivities within the second- and third-order terms of their bumps (§15). The smile reproduces its three quotes at their own strikes.

14 On-chain bilateral confirmation

Modules: `chain/canonical.py`, `chain/signing.py`, `chain/attestation.py`;
the registry contract `chain/src/TradeConfirmationRegistry.sol`; *the verifier* `chain/verify/index.html`.

14.1 The canonical record (schema v2)

Both parties sign one record that either can derive alone from its own booking. The record is keyed by the unique transaction identifier, names the two parties by LEI in sorted order, names the payer and receiver LEI of every leg, the buyer and seller of every embedded option and the payer and receiver of every custom cashflow, and orders legs by content. It contains only the economic terms: no internal references, no book or desk, no status, no timestamps, no party names. Serialisation rules, which a verifier in any language must reproduce exactly: JSON, UTF-8, keys sorted at every level, separators `,` and `:` with no whitespace; numbers as decimal strings without exponent, trailing zeros or negative zero; dates ISO-8601; nulls and booleans preserved; strings unchanged. The trade hash is $h = \text{keccak256}(\text{bytes})$. The schema version is inside the payload so a confirmation is always re-derived under the version it was signed with.

14.2 Signatures

Each party signs an EIP-712 typed message in the domain `RijekaTradeConfirmation`, version 1, bound to the chain and the registry address:

```
TradeConfirmation(bytes32tradeHash,addresscounterparty)
TradeAmendment(bytes32prevHash,bytes32newHash,addresscounterparty)
TradeTermination(bytes32tradeHash,addresscounterparty)
```

Each party's message names the *other* party's address, so a signature cannot be replayed against a different counterparty, chain or registry. A firm's signing address is registered in Rijeka through a wallet challenge; once registered, Rijeka can verify that firm's signatures but can never produce them. On the hosted demo Rijeka holds keys for demo entities only, and any confirmation it signs for both sides is marked `bilateral:false`.

14.3 The registry

The registry contract has no owner and no administrative function. `confirm` verifies both signatures over the confirmation digest and records $(h, \text{partyA}, \text{partyB}, \text{timestamp})$ with status *Confirmed*; `amend` verifies both signatures over the amendment digest, marks the previous hash *Superseded* and records the new hash with the previous one as its parent; `terminate` verifies both signatures and sets *Terminated*. Signatures with high s values are rejected. Once a trade is anchored, Rijeka refuses off-chain edits to its terms: an amendment is itself a bilateral act.

14.4 Verification without Rijeka

A proof pack contains the canonical record, the hash, both signatures and the anchor. The public verifier, a single self-contained page, (i) re-serialises the record and recomputes the keccak256 hash, (ii) rebuilds both EIP-712 digests and recovers both signers, (iii) reads the registry on a public node and checks status and parties. No Rijeka server is contacted. The contract source is verified on Sourcify so the reader can audit what the registry does before trusting it. **What it proves:** that these exact terms were signed by these two keys and recorded at that block. **What it does not prove:** that a key belongs to a legal entity; that binding is a matter of the firms' own key management and registration.

15 Independent reference: QuantLib

Suite: `backend/tests/reference/`*; table:* `python -m tests.reference.report`.

Every number above is rebuilt in QuantLib (version 1.44), an independent open-source library, on a frozen USD SOFR snapshot of 33 quotes with the shape of the daily demo build (valuation date 30 October 2026). The suite runs in continuous integration with every commit; each comparison carries a tolerance and fails the build when the difference grows past it. Two kinds of comparison are made.

- **Replica (same conventions).** QuantLib is given Rijeka's discount factors (a `DiscountCurve`, log-linear on ACT/365F, which is Rijeka's interpolation) and Rijeka's stated conventions, and must reproduce Rijeka's number to rounding. Schedules are generated by QuantLib's own `Schedule`, so a date error shows as a value difference; SOFR is projected by an overnight index fixing every calendar day, which reproduces $P(d_s)/P(d_e) - 1$ exactly; Hull–White comparisons use QuantLib's `HullWhite` model with the same (a, σ).
- **Convention.** QuantLib's own bootstrap and market SOFR conventions (`OISRateHelper`: payment lag two days, modified following, the SOFR fixing calendar), QuantLib's compounded-overnight caplet pricer, or a different but legitimate definition of a sensitivity. These differences are reported with their cause and bounded.

The inputs are a public-data curve rebuild and synthetic volatilities: a clean comparison says the engine computes what the methodology says, not that the demo market is a live mark.

Product	Metric	n	Worst	Unit	Tol.	Kind
Curve	implied rate	1	-2.62e-10	bp	1.00e-06	replica
Curve	par rate on Rijeka DFs	32	2.80e-11	bp	1.00e-06	replica
Curve	zero rate (cc, ACT/365F)	39	1.25	bp	1.5	convention
Curve	simple fwd ACT/365F, replica	7	-8.84e-12	bp	1.00e-06	replica
Curve	simple fwd ACT/365F, market bootstrap	7	4.3	bp	6	convention
IRS	NPV, replica	15	-1.12e-11	bp of notional	1.00e-06	replica
IRS	DV01 (+1bp zero), replica	12	1.17e-10	% of DV01	1.00e-04	replica
IRS	NPV, QuantLib market conventions	12	-0.0974	bp of notional	1	convention
IRS	par rate, replica	4	-4.00e-13	bp	1.00e-06	replica
IRS	NPV vs true accrual	1	-11.1	bp of notional	12	convention
FX forward	forward rate	3	-2.22e-12	pips	1.00e-06	replica
FX forward	NPV (quote ccy)	3	-3.07e-12	bp of notional	1.00e-06	replica
FX forward	spot01 (+1% spot)	3	1.52e-12	% of value	1.00e-06	replica
FX forward	IR01 quote curve	3	1.90e-10	% of value	1.00e-06	replica
FX forward	IR01 base curve	3	4.51e-10	% of value	1.00e-06	replica

Product	Metric	n	Worst	Unit	Tol.	Kind
FX forward	forward from the spot date	3	-2.22e-12	pips	1.00e-06	replica
FX forward	NPV, spot date T+2 (joint calendar)	3	2.13e-12	bp of notional	1.00e-06	replica
FX forward	NPV with no spot date vs T+2 market	3	4.6	bp of notional	5	convention
Crypto NDF	forward price	3	0	USD	1.00e-06	replica
Crypto NDF	NPV (USD)	3	-1.97e-12	bp of notional	1.00e-06	replica
Crypto NDF	NPV vs replication by hand	3	-3.74e-13	bp of notional	1.00e-06	replica
Swaption	NPV	21	9.31e-13	bp of notional	1.00e-06	replica
Swaption	vega (1bp vol)	6	2.99e-14	% of vega	1.00e-06	replica
Swaption	delta: analytic forward delta vs +1bp curve bump	6	13.8	% of delta	15	convention
Cap/floor	NPV, replica	4	4.39e-06	% of premium	0.001	replica
Cap/floor	vega (1bp vol), replica	4	-6.99e-04	% of vega	0.05	replica
Cap/floor	NPV vs QuantLib compounded-SOFR caplet pricer	4	-2.48	% of premium	3	convention
Cap/floor	NPV through the swap pricer, replica	3	-5.95e-08	% of premium	1.00e-06	replica
Bermudan (HW1F)	Bermudan NPV, tree vs QuantLib tree	12	-0.428	bp of notional	1	replica
Bermudan (HW1F)	European NPV, tree vs QuantLib Jamshidian	12	-0.444	bp of notional	1	replica
European (HW1F)	Jamshidian closed form, Rijeka vs QuantLib	12	4.51e-05	bp of notional	0.001	replica
CCR paths	martingale (bp of price)	10	-0.623	standard errors	4	replica
CCR paths	E[D·V] at expiry vs QuantLib Jamshidian	12	-1.07	standard errors	4	replica
CCR paths	value today (Bachelier at the HW implied vol) vs QuantLib Jamshidian	3	-0.338	bp of notional	0.5	replica
CCR paths	HW implied vol vs the market vol it replaces	3	-17.9	bp	40	convention
CCR paths	E[D·payoff] vs QuantLib HW zero-bond put	3	-1.13	standard errors	4	replica
Key-rate ladder	KR01 (+1bp quotes, rebootstrap)	20	0.0314	% of DV01	0.5	convention
Key-rate ladder	ladder total (par +1bp) vs ticket IR01 (zero +1bp)	5	-2.14	% of DV01	3.5	convention

Causes of the convention differences. Curve: the integer-year gap fill (§2). Swaps: market accrual adjustment and payment lag against Rijeka's default unadjusted accrual and the booked lag; under 0.1bp of notional. FX: the spot-date carry, now applied (the row keeps the old, valuation-date convention visible). Swaption delta: the ticket shows both the analytic forward delta $A\,\Phi(d)\cdot 1\text{bp}$ with the annuity held and the curve DV01 (a +1bp parallel zero shift, repriced), which also moves the annuity; up to 14% apart on a 5Y×10Y. Risk and P&L use the curve bump. Caps: the mid-period option time against QuantLib's compounded-rate model (§6). Exposure: the Hull–White implied vol a swaption is valued at on the paths against the market quote (§9); the value today against QuantLib's Jamshidian price is within 0.35bp of notional, the paths reading the curve at one-day granularity. Ladder: a 1bp move in par quotes

is a slightly smaller move in zero rates, so the ladder total sits about 2% below the ticket's `IR01`; both are published and labelled.

Findings fixed in November 2026, each pinned by a test: the counterparty path bond formula (S1); booked swaptions valued as their underlying swap in P&L and market risk (S1); coupon dates drifting after a short month, and the stub type ignored (S3, dates off by up to three days); the curve failing to build when spot is 29 February (S2); zero-coupon legs failing to price (S2); the FX forward applied from the valuation date instead of the spot date (S2, up to 3.7bp of notional); cap option time on ACT/360 (S2, +0.7% of an ATM premium); a period under way adding realised and forward SOFR instead of compounding them (S3); the P&L cash window counting a coupon twice on its payment date (S2); payment lag and fixing dates in weekdays and New York business days only (S3); an unreachable legacy FX pricer with an inverted discount-factor ratio, removed (S4). **Fixed on 2 November 2026:** realised overnight fixings for periods under way, from the daily snapshots (§3); option terms stored at booking, caps and floors as zero-participation legs, sold options with their sign (§6); a float leg's leverage honoured; caplets discounted at the payment date; the swaption's forward delta labelled with the curve DV01 beside it; the exposure engine's swaption vol made consistent with its exercise (§9). **Added on 2 November 2026:** FX options (§13), with the VOL step in the P&L explain and vega on the ladder. **Open:** volatility is not a VaR factor; swaption and cap vol moves have no P&L step and land in the residual; swaptions and caps booked before November 2026 carry no option terms and are valued from their legs.

16 Model governance and known limitations

- **Validation.** Versioned validation reports live in `model_validation/`; v0.4.2 covers IRS and OIS (38 tests against Bloomberg), later versions swaptions (delta of $3 on a $10m 5Y), caps (0.1% at matched volatility), SABR and the scenario engine.
- **Replications.** The Excel workbooks in the Methodology tab are regenerated on request from the user's own snapshot; the engine's value is written beside the formula result with a difference cell.
- **Independent reference.** Every product is repriced in QuantLib on every commit (§15); a difference that grows past its stated tolerance fails the build.
- **Open items, stated plainly.** Hull–White is single-curve and calibrated to one tenor column (§7–8). SABR is $\beta = 0$ only. The hosted demo prices off a dated snapshot with no live feed, and says so on every screen. The registry contract has had no external audit. SIMM covers interest-rate delta; vega and other risk classes are on the roadmap.
- **Change control.** Every change to a pricing module is a commit in a public repository with its tests; this document is versioned with the code.

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